Schedule DA-LRATC Sheet 1

DIRECT ACCESS LOCAL RESOURCE ADEQUACY TRANSFER CREDIT

APPLICABILITY

This schedule applies to Energy Service Providers (ESPs) who are providing electric commodity service to customers who enroll in Direct Access (DA) Service, on or after April 11, 2010, under the provisions of electric Rule 22 (Direct Access) and Rule 22.1 (Direct Access Service Switching Exemption Rules).

Pursuant to Appendix 3 of Decision (D.)10-03-022, an ESP who serves additional DA load on or after April 11, 2010 will have the option to obtain an allocation of Local Resource Adequacy (RA) "credits" from SCE without the need for an actual sale of physical capacity to satisfy the ESP's Local RA Obligation for that DA load for the remainder of the 2010 compliance year.

This schedule will terminate on December 31, 2010, unless it is extended by the Commission.

TERRITORY

Schedule DA-LRATC applies everywhere SCE provides electric service as shown in Preliminary Statement, Part A.

RATES

ESPs who serve new DA load on or after April 11, 2010 may elect to obtain an allocation of RA Credits from SCE which may be used to satisfy their Local RA Obligations associated with new load in 2010.

1. Customer Local Resource Adequacy Obligation (CLO)

   Individual customers (identified by service account) electing DA are assigned a CLO for purposes of tracking local RA responsibility under this option. The CLO represents the Local RA obligation of the customer in MW and is equal to: the customer's recorded Coincident Peak Demand (COPD) in MW at the time of SCE's 2009 coincident system peak, multiplied by a Distribution Loss Factor (DLF) based on service voltage, multiplied by the Local to Peak Ratio (LPR) for SCE's service territory.

   The LPR will be calculated by the CPUC Energy Division and posted on the CPUC website for SCE's service territory beginning April of 2010. An LPR (expressed as a percentage) is determined for SCE based on the total Local RA obligation in SCE's service area in MW, as adopted by the Commission, minus the Local MW allocated among all Load Serving Entities (LSEs) for Demand Response (DR), Cost Allocation Mechanism (CAM) resources, and RMR Condition 1 (RMR-1) resources. The resulting MW amount is then divided by the total forecasted 2010 coincident peak load in MW of SCE's service territory (Service Area CPD), as developed by the California Energy Commission for purposes of establishing 2010 RA obligations.

(Continued)

Schedule DA-LRATC Sheet 2
DIRECT ACCESS LOCAL RESOURCE ADEQUACY TRANSFER CREDIT

(Continued)

RATES (Continued)

2. Transferred Load

Commencing April 30, 2010 and continuing on a monthly basis until December 31, 2010, SCE will provide each ESP an aggregate total of CLO for all service accounts authorized to migrate to the ESP in the following month, subject to the conditions identified in Rule 22.1, Switching Exemptions. SCE and the ESP receiving the migrating load will stipulate to the transfer of the aggregate CLO from SCE to the ESP.

3. Local RA Credit

Under Special Condition 1, the ESP gaining additional DA load has the option to obtain an allocation of Local RA "credits" from the LSE losing the load. This option does not necessitate the actual commercial sale of physical capacity between the two LSEs.

a. At the affirmative request of the ESP, SCE will invoice the ESP for Local RA Transfer Credits in an amount equal to the aggregate total CLO multiplied by an administratively determined price of $24 dollars per kilowatt-year (kW-yr), prorated for the portion of 2010 over which the transfer of local RA credits applies. This amount reflects the "premium" value of Local RA capacity over System RA capacity. ESPs acquiring new load are required to purchase adequate System RA capacity under the current RA load migration rules.

b. Monthly prices are "shaped" to reflect the fact that RA capacity is most valuable during the peak summer months. Monthly shaping factors (shown below) spread the $24 transfer payment based on capacity allocation factors utilized in the California Independent System Operator's former Reliability Capacity Services Tariff program. The applicable price per kW of CLO is equal to $24 per kW-yr multiplied by the sum of the monthly shaping factors over which Local RA credits are to be transferred.

Monthly Shaping Factors (SP-15)

Jan	6.7%
Feb	5.0%
Mar	5.0%
Apr	5.8%
May	6.3%
Jun	8.3%
Jul	15.8%
Aug	17.5%
Sep	11.7%
Oct	5.8%
Nov	6.3%
Dec	5.8%

(Continued)

Schedule DA-LRATC Sheet 3
DIRECT ACCESS LOCAL RESOURCE ADEQUACY TRANSFER CREDIT

(Continued)

RATES (Continued)

3. Local RA Credit (Continued)

   c. Subsequent migration of load to another LSE may include in corresponding transfer of Local RA credits to the new LSE based on the same calculation, with applicable monthly shaping factors. The new LSE could elect to meet the Local RA CLO for the new DA load either through an optional Local RA credit transfer payment to the prior LSE.

4. Pursuant to D.10-03-022, payment of the invoiced amount for Local RA Transfer Credits satisfies the acquiring LSE's Local RA obligation for migrated load for the remainder of the 2010 compliance year. SCE will indicate in required RA filings the migration of customer MW and associated RA capacity transferred to all other LSEs.

   All LSEs involved in transfer of RA capacity under this option will report the amount of the Local RA obligation (the CLO) transferred in their System RA monthly true-ups to Energy Division. The acquiring LSE would also report the amount of the CLO being satisfied through the default transfer payment, as well as the amount of CLO that was being otherwise satisfied.

SPECIAL CONDITIONS

1. The Local Resource Adequacy Transfer Credit option was made available to LSE's to facilitate the partially re-opened DA market. LSEs may elect not to exercise this option. If so, as D.10-03-022 notes, "Failure of an LSE to demonstrate that is has satisfied the CLO through a timely default transfer payment to the transferring LSE and/or through other means will result in a deficiency in the Local RA obligation of such LSE."[i]

[i] D.10-03-022, Appendix 3, p.2